

India's Ambassador to Japan, Mr. HK Singh, who oversaw the highly successful India-Japan Friendship Year in 2007 says India-Japan relations have intensified rapidly over the last few years and have entered a qualitatively new phase.

"Growing strategic convergences, economic complementarities and shared democratic values provide a durable basis for the long-term growth of these relations, which also benefit greatly from mutual public goodwill and bipartisan political support in both countries. Both sides recognize that these relations are vital for the progress and prosperity of our shared Asian region and beyond," observed Mr Singh.

Economic relations are the driving force behind deepening of bilateral relations since 2000. Trade and investments from the both the countries are on the rise. The Economic Partnership Agreement (EPA) negotiations are in the progress. Modalities of negotiations for market access in respect of trade in goods have been agreed and offers exchanged. Both the countries are working closely to make substantial progress in finalizing the framework of EPA before Prime Minister Manmohan Singh's visit to Japan this year.

India has been the largest recipient of Japan's ODA loans for the past many years. Japan is closely involved in funding infrastructure projects in India, including the showcase Delhi Metro rail project. The Japanese government and companies are taking keen interest in promoting the Delhi-Mumbai Industrial Corridor and the Dedicated Freight Corridor (DFC) Project.

India's rapid economic growth, which will catapult it to the top three economies in the world over the next few decades, has caught the attention of Japanese corporates and investors.

Japanese and Indian governments are working closely to increase co-operations between the private sectors of both the countries.

The significance of intensifying the cultural relations between the people of the two countries led to the celebrations of the India-Japan Friendship Year in 2007, which was held to commemorate the 50th anniversary of concluding cultural relations between India and Japan. Nearly 400 events were organized in both countries.

During the Friendship Year, the Japanese government launched the JENESYS Program, in which 550 Indian youths will be invited to Japan every five years till 2012. Academic co-operation was initiated at the highest level. The then Prime Minister Abe was accompanied by a high level delegation of Vice-Chancellors of prominent Japanese universities during his visit in August 2007, which held meetings with Vice-Chancellors of prominent Indian universities. Co-operation agreements were signed between the universities and colleges of both the countries.

On the business front, Japanese companies have often complained of poor infrastructure, archaic labour laws, complex tax laws and bureaucratic red-tape as major hurdles to setting up manufacturing and business operations in India. Though complaints on this front still remain, many Japanese companies believe that business environment has improved significantly. Corporate Japan now considers India as a preferred investment destination. Says Maruti Suzuki India Ltd's managing director and CEO, Shinzo Nakanishi, "Red tape in India has come down. I would say it is now 70% lesser than what it used to be sometime back."

Toyota, Honda and Nissan are some of the global corporate giants which have set up manufacturing facilities in India and are presently in the process of making fresh investments to expand their operations.

Japanese companies have also started making big acquisitions in the Indian market, signifying their comfort of doing business in the country. On June 11, Japan's third largest pharmaceutical company Daiichi Sankyo announced acquisition of a majority stake in Ranbaxy Laboratories Ltd, one of India top pharma companies, for as much as \$4.6 billion (over Rs 19,500 crore).

In 2007, Matsushita Electric Works Ltd, which manufactures Panasonic brand of products, acquired 80 per cent equity stake in Anchor Electricals Pvt Ltd for \$500 million (over Rs 2,100 crore).

Some of the recent entrants in the Indian market like Victor Company of Japan Ltd (manufacturer of JVC consumer electronics products) and CBC Co. Ltd (world's number one surveillance equipment company) are excited about the prospects of doing business in the country.

Says Mr. Kunihiro Sato, President of Victor Company of Japan Ltd, "We have recently introduced top-of-the line JVC consumer electronics products in the Indian market. The Indian economy has been experiencing remarkable growth and is progressing towards becoming a leading country in the world economy in the near future."

At the launch of its operations in India last month, CBC Corporation India's managing director Tomizo Nishikawa said his company was "pleased to be directly present in one of the world's fastest growing economies" and "India is a key market for us".

Indian companies too have spread their wings in the Japanese market. Top Indian IT companies like Infosys, Wipro, TCS, Satyam and HCL have set up operations in Japan. Lupin Limited acquired a significant majority stake in Kyowa Pharmaceutical Industry Co. Ltd. (Kyowa), a leading Japanese generics company ranked amongst the top 10 generic companies, in October 2007.

But there is still a long way to go in taking economic and business relations to the level of China. As Japan's Ambassador to India, Mr. Hideaki Domichi, put it soon after assuming office in November 2007, "I wish to point out that the level of our relations still remains only 3 percent that of the Japan-China relations, in terms of trade and investments and when it comes to the level of people-to-people exchanges, lower than 3 percent."

Yet the silver-lining is that the Governments of both the countries are determined to take bilateral and economic relations to the next level. As Mr Domichi said in his message, "It is my ambition to raise Japan-India relations up to the level of Japan-China relations. I believe Japan and India have a huge potential for further development which needs to be tapped fully."

-Veeshal Bakshi

